

SEQUOIA CAPITAL

Generative AI's **Act Two**

From Technology Hammer to Real Value

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September 2023

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Six Decades of Technological Progress Converged to Enable Generative AI

6

DECADES

Moore's Law

Delivered compute horsepower to process exaflops of data

4

DECADES

The Internet

Accelerated by COVID, produced trillions of tokens of training data

2

DECADES

Mobile & Cloud

Put a supercomputer in every human's palm

⚡ ChatGPT sparked a Cambrian explosion of innovation not seen since the early internet

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

> \$1B

in startup revenue

vs. years for SaaS to reach the same milestone

Source: Sequoia Capital, September 2023

ChatGPT

STUDENTS & DEV

Fastest-growing app in history

Midjourney

Hundreds of millions in revenue

11 employees

Character.ai

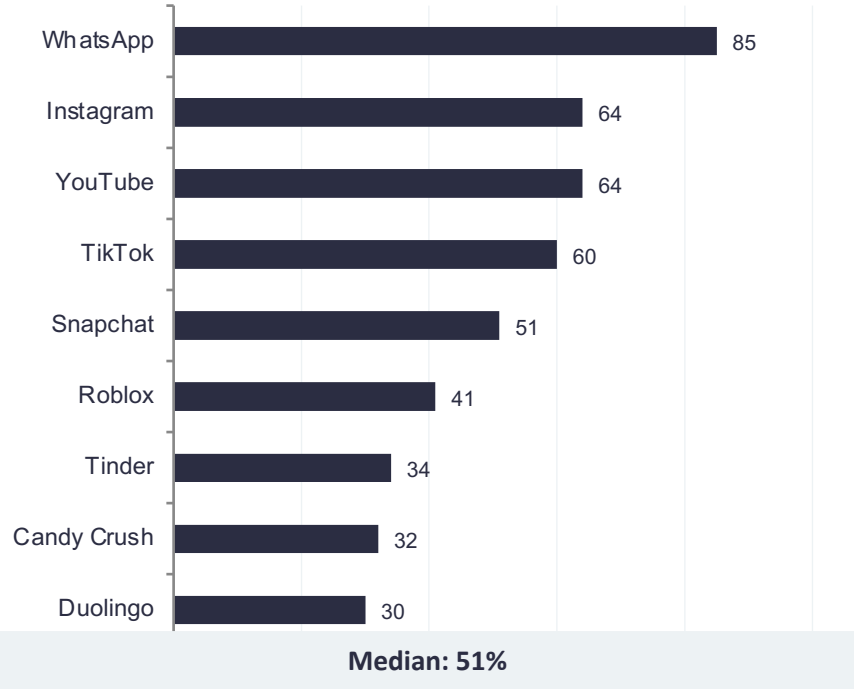
Average session time

2 hrs

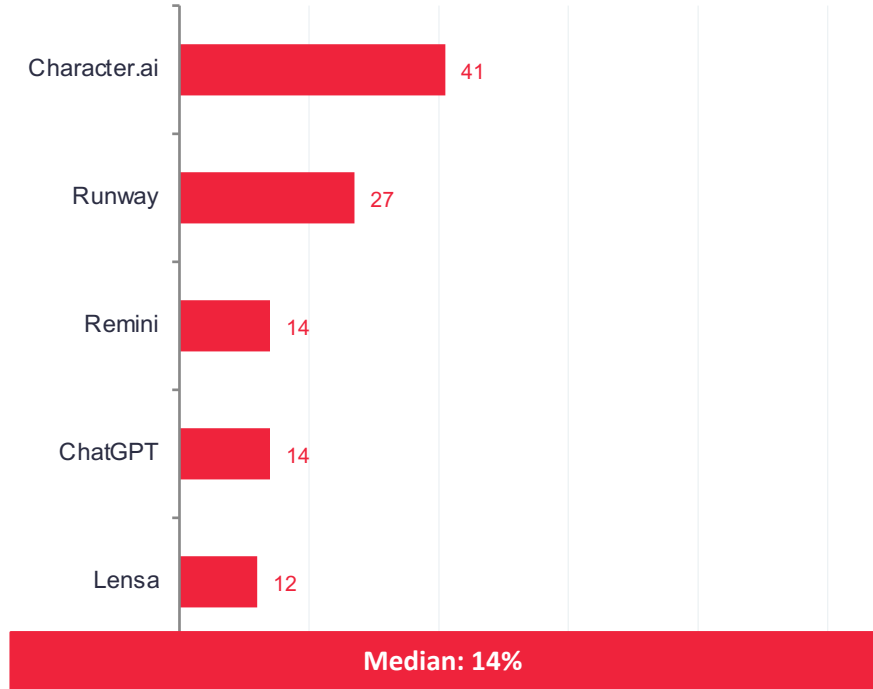
Despite commercial traction, many AI companies still lack product-market fit or sustainable competitive advantage.

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

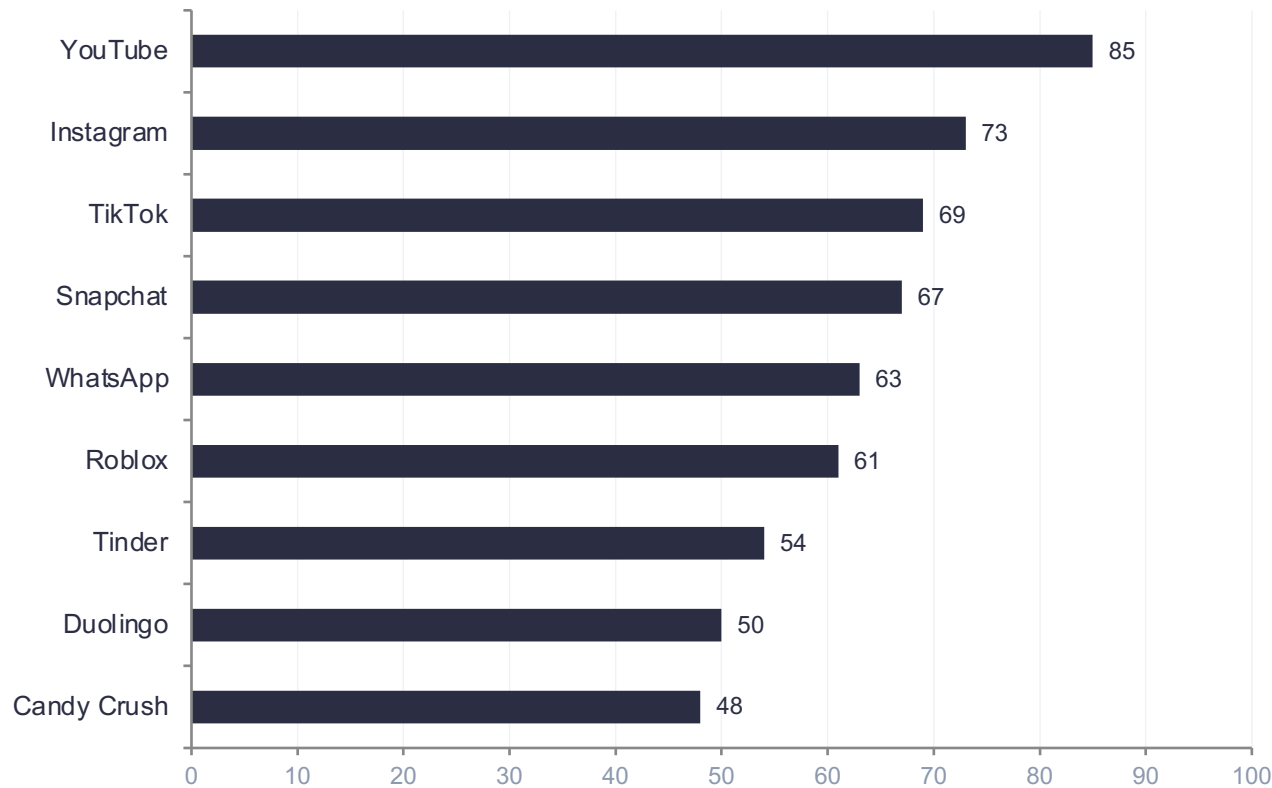
Incumbents



AI-First Companies



YouTube Leads Incumbents at 85% Monthly Active Usage



Source: Sequoia Capital analysis of monthly active usage benchmarks, September 2023

63%

Median MAU

85%

YouTube

48%

Candy Crush (low)

The bar AI apps must clear to compete

Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1

Technology-Out

1 Foundation models used as the entire solution

2 Novelty apps — lightweight technology demonstrations

3 Products often lacked stickiness

4 Poor user retention at scale

ACT 2

Customer-Back

Foundation models as a component, not the entire product

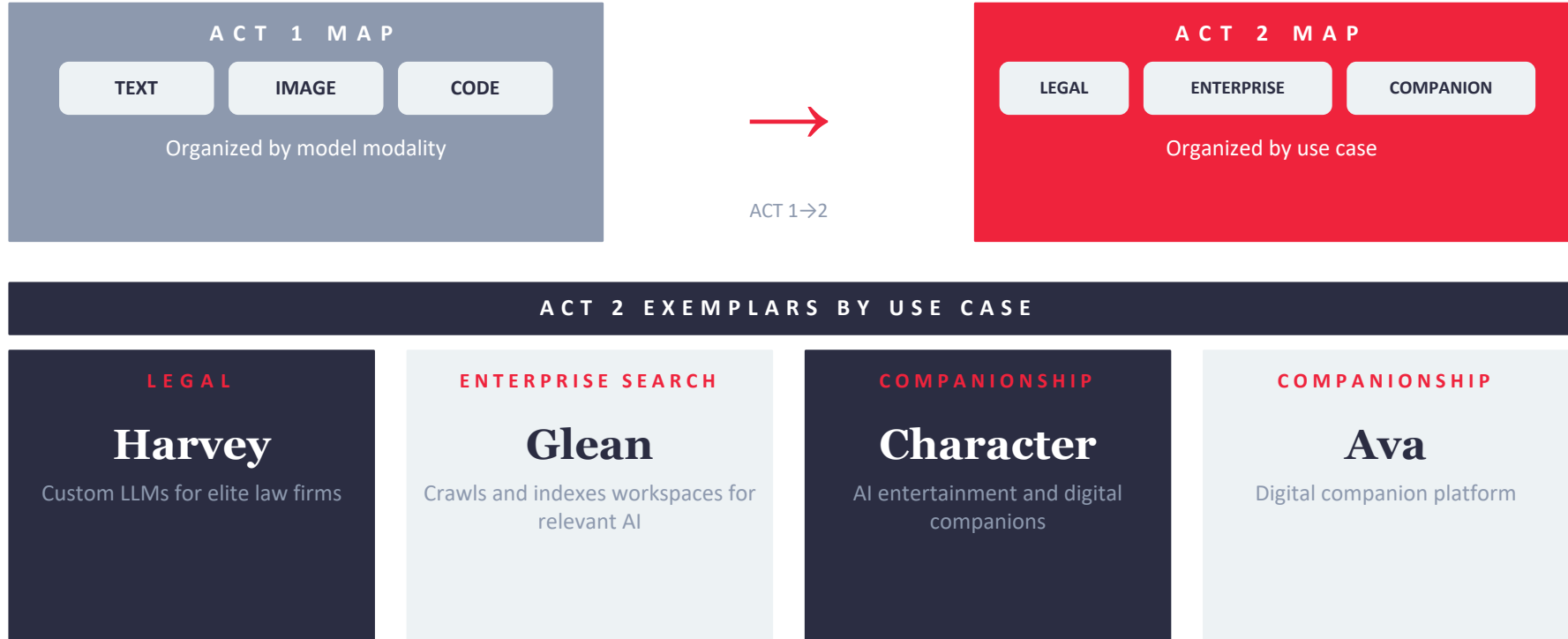
New editing interfaces — stickier workflows, better outputs

Multi-modal by nature

Solves human problems end-to-end

Exemplars: **Harvey** · **Glean** · **Character** · **Ava**

Market Map Reorganized by Use Case, Not Model Modality



The shift to use-case organization reflects the increasingly multi-modal nature of Act 2 applications.

KEY TAKEAWAYS

5

What Separates Winners

in Act Two

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1

Retention is the critical challenge — **14%** median for AI-first vs. **51%** for incumbents, a 3.6× disadvantage

2

GenAI startups hit \$1B in revenue faster than SaaS — real demand exists beyond the hype cycle

3

Foundation models must be a component, not the whole product — thin wrappers lack stickiness

4

Multi-modal, workflow-integrated solutions with new editing interfaces will define Act 2 winners

5

End-to-end problem solving — **Harvey, Glean, Character, Ava** — is the blueprint for Act 2